

# Fiscal Cost of Indonesia’s Data Centre Tax Incentive Regime

March 2025

## Overview

Indonesia’s data centre market has attracted IDR 385.8 trillion (USD 24.4 billion) in identified investment across 49 facilities (27 operational, 12 under construction, 10 planned), encompassing 3,089 MW of capacity (526 MW operational, 2,563 MW pipeline). Three fiscal instruments apply: a CIT holiday of up to 20 years (PMK-130/2020); a post-holiday investment allowance of 30% of capex under GR No. 45/2019; and VAT plus import duty exemptions for Batam Nongsa Digital Park SEZ operators. Total cumulative fiscal cost is estimated at **IDR 130.659 trillion (USD 8.27 billion)**, equivalent to **0.590% of 2024 GDP** and 19.5% of the annual government education budget.

## Table 1 — Annual and Cumulative Fiscal Cost by Instrument

Taxable income proxied at 12% ROIC. CIT forgone: 22% for non-GMT operators ( $n = 28$ ), 7% net for GMT-subject MNEs ( $n = 21$ ) after the QDMTT floor (PMK-136/2024, effective 1 Jan 2025). Post-holiday investment allowance applies to non-GMT entities only; QDMTT recaptures all saving for GMT operators. SEZ VAT and import duty are one-time costs at construction.

**Table 1** Annual and Cumulative Fiscal Cost by Instrument (IDR Trillion; 2024 GDP = IDR 22,139T)

| Year                            | CIT Holiday | Super Ded. <sup>a</sup> | Annual Total | % GDP  | Cum. Total                 | Cum. % GDP |
|---------------------------------|-------------|-------------------------|--------------|--------|----------------------------|------------|
| 2025                            | 4.024       | —                       | 4.024        | 0.018% | 5.001                      | 0.023%     |
| 2027                            | 7.642       | 0.012                   | 7.654        | 0.035% | 17.927                     | 0.081%     |
| 2030                            | 7.366       | 0.090                   | 7.456        | 0.034% | 40.530                     | 0.183%     |
| 2035                            | 5.695       | 0.395                   | 6.090        | 0.028% | 74.311                     | 0.336%     |
| 2040                            | 4.186       | 0.483                   | 4.669        | 0.021% | 99.899                     | 0.451%     |
| 2045                            | 2.345       | 0.384                   | 2.729        | 0.012% | 119.782                    | 0.541%     |
| <i>Cumulative (all periods)</i> | 118.705     | 10.977                  | —            | —      | <b>130.659<sup>b</sup></b> | 0.590%     |

<sup>a</sup> Post-holiday 5-year window: 2 years at 11% CIT + 3 years at 22% CIT. Zero net cost for GMT entities (QDMTT recapture Zero during holiday (double-dipping prohibited, PMK-153/2020 Art. 7).

<sup>b</sup> Includes SEZ VAT (IDR 0.796T) and import duty (IDR 0.181T), one-time at construction. GDP: BPS 2024. Education APBN 2024 (IDR 670T). Rate: IDR 15,800/USD.

**Table 2 — Policy Scenarios**

**Scenario A:** expansion to 3,000 MW operational by 2030 (+2,474 MW from current 526 MW operational), requiring IDR 274.6T at IDR 111B/MW; GMT/non-GMT split 43%/57%; 10-year holiday. **Scenario B:** VAT and import duty extended to all operators (35% equipment share) applied to combined Scenario A investment of IDR 660.4T.

**Table 2** Fiscal Cost Under Alternative Scenarios

| Scenario                | MW    | Inv.   | CIT     | SD     | VAT+Duty | Total (IDR T)  | % GDP   |
|-------------------------|-------|--------|---------|--------|----------|----------------|---------|
| Baseline                | 3089  | 385.8  | 118.705 | 10.977 | 0.977    | <b>130.659</b> | 0.590%  |
| A: 3,000 MW by 2030     | +2474 | +274.6 | +51.243 | +7.813 | —        | +59.056        | +0.267% |
| <i>Scenario A total</i> | 3000  | 660.4  | 169.948 | 18.790 | 0.977    | <b>189.715</b> | 0.857%  |
| B: Universal VAT        | 3089  | 385.8  | 118.705 | 10.977 | 18.230   | <b>147.912</b> | 0.668%  |
| Combined A + B          | 3000  | 660.4  | 169.948 | 18.790 | 31.204   | <b>219.942</b> | 0.993%  |

CIT/SD/VAT+Duty all in IDR T (cumulative). Scenario A assumes no new SEZ concessions. Scenario B standalone incremental over SEZ: IDR 17.252T. Combined A + B incremental over SEZ: IDR 30.227T (VAT 25.425T + duty 5.779T).

**Table 3 — Tax Incentive Cost by Data Centre**

**Table 3** Fiscal Cost of Tax Incentives by Data Centre (IDR Trillion)

| Operator                           | Facility           | GMT | Hol. | Inv.          | Ann. CIT     | Cum. CIT       | SD            |
|------------------------------------|--------------------|-----|------|---------------|--------------|----------------|---------------|
| BDx Indonesia                      | CGK4 Jatiluhur     | No  | 20   | 77.50         | 2.046        | 40.920         | 3.410         |
| Digital Edge (Indonet)             | CGK Campus         | No  | 20   | 69.75         | 1.841        | 36.828         | 3.069         |
| Princeton Digital Group            | JC3                | No  | 15   | 15.50         | 0.409        | 6.138          | 0.682         |
| DAMAC Digital                      | Cikarang DC        | Yes | 20   | 35.65         | 0.299        | 5.989          | —             |
| Princeton Digital Group            | Batam Campus       | No  | 10   | 10.42         | 0.275        | 2.751          | 0.458         |
| DCI Indonesia                      | H1 Campus          | No  | 10   | 11.32         | 0.299        | 2.988          | 0.498         |
| Microsoft                          | Indonesia Central  | Yes | 15   | 26.35         | 0.221        | 3.320          | —             |
| DayOne / INA JV                    | Nongsa Digital Par | No  | 10   | 6.70          | 0.177        | 1.769          | 0.295         |
| Aslan Energy Capital               | Aslan DC           | No  | 10   | 6.20          | 0.164        | 1.637          | 0.273         |
| DCI Indonesia                      | JK5                | No  | 10   | 5.58          | 0.147        | 1.473          | 0.246         |
| DCI Indonesia                      | JK6                | No  | 10   | 5.58          | 0.147        | 1.473          | 0.246         |
| Digital Edge (Indonet)             | EDGE2              | No  | 10   | 5.04          | 0.133        | 1.331          | 0.222         |
| DCI Indonesia                      | H2-02              | No  | 7    | 4.65          | 0.123        | 0.859          | 0.205         |
| Korea Investment / Sinar Mas (PT K | KMG Jakarta (AI Da | No  | 7    | 4.65          | 0.123        | 0.859          | 0.205         |
| BW Digital                         | BW DC              | No  | 7    | 3.10          | 0.082        | 0.573          | 0.136         |
| DCI Indonesia                      | E1 Data Center     | No  | 7    | 3.10          | 0.082        | 0.573          | 0.136         |
| Bitera (MMS Group Indonesia)       | Bitera Jakarta     | No  | 7    | 3.10          | 0.082        | 0.573          | 0.136         |
| NTT DATA                           | Jakarta 3 (JKT3)   | Yes | 10   | 7.75          | 0.065        | 0.651          | —             |
| Tencent                            | Indonesia Expansio | Yes | 10   | 7.75          | 0.065        | 0.651          | —             |
| K2 Strategic (K2 Data Centres / Si | K2 Karawang Campus | Yes | 10   | 7.75          | 0.065        | 0.651          | —             |
| SpaceDC                            | ID01               | No  | 7    | 2.76          | 0.073        | 0.510          | 0.121         |
| Telkom Indonesia (NeutraDC)        | Cikarang Expansion | Yes | 10   | 7.44          | 0.062        | 0.625          | —             |
| IndoKeppel Data Centres            | IKDC1              | Yes | 10   | 6.59          | 0.055        | 0.554          | —             |
| Digital Edge (Indonet)             | EDGE1              | No  | 7    | 2.33          | 0.062        | 0.431          | 0.103         |
| Triputra Group                     | Triputra DC        | No  | 7    | 2.33          | 0.062        | 0.431          | 0.103         |
| EdgeConneX                         | Jakarta Campus     | Yes | 10   | 6.26          | 0.053        | 0.526          | —             |
| K2 Strategic (K2 Data Centres / Si | K2 JKT1            | Yes | 10   | 5.92          | 0.050        | 0.497          | —             |
| Pure Data Centres                  | Pure DC            | No  | 7    | 2.17          | 0.057        | 0.401          | 0.095         |
| DCI Indonesia                      | H2 Pertiwi Lestari | No  | 7    | 1.75          | 0.046        | 0.323          | 0.077         |
| Princeton Digital Group            | Cibitung Campus    | No  | 7    | 1.71          | 0.045        | 0.316          | 0.076         |
| Metta DC                           | ID01 (Jababeka)    | No  | 7    | 1.50          | 0.040        | 0.277          | 0.066         |
| Oracle                             | Indonesia North C1 | Yes | 7    | 3.10          | 0.026        | 0.182          | —             |
| SEAX Indonesia Pratama             | SEAX DC (BSD Techn | No  | 7    | 1.40          | 0.037        | 0.259          | 0.062         |
| Indosat-NVIDIA (Lintasarta)        | AI Factory (GPU Me | Yes | 7    | 3.88          | 0.033        | 0.228          | —             |
| ST Telemedia GDC                   | STT Jakarta-2      | Yes | 7    | 3.72          | 0.031        | 0.219          | —             |
| Digital Realty / Bersama Digital ( | JBT1 (Jakarta Bara | Yes | 7    | 3.10          | 0.026        | 0.182          | —             |
| Telkom Indonesia (NeutraDC)        | NeutraDC Portfolio | Yes | 7    | 2.60          | 0.022        | 0.153          | —             |
| Digital Realty / Bersama Digital ( | CGK11              | Yes | 7    | 2.17          | 0.018        | 0.128          | —             |
| Biznet                             | Biznet DC (Technov | No  | 5    | 0.65          | 0.017        | 0.086          | 0.029         |
| NTT DATA                           | Jakarta 2 Annex (J | Yes | 7    | 1.58          | 0.013        | 0.093          | —             |
| Gaw Capital / Sinar Primera        | Batam Phase 1      | No  | 5    | 0.48          | 0.006        | 0.032          | 0.021         |
| NTT DATA                           | Jakarta 2 (JKT2)   | Yes | 7    | 1.17          | 0.010        | 0.069          | —             |
| Equinix / Astra International      | JK1                | Yes | 7    | 1.15          | 0.010        | 0.068          | —             |
| Digital Realty / Bersama Digital ( | CGK10              | Yes | 5    | 0.93          | 0.008        | 0.039          | —             |
| EdgeConneX                         | GTN Cikarang       | Yes | 5    | 0.76          | 0.006        | 0.032          | —             |
| NTT DATA                           | Jakarta 1 (JKT1)   | Yes | 5    | 0.62          | 0.005        | 0.026          | —             |
| Datacomm                           | Datacomm DC (HQ +  | No  | 5    | 0.16          | 0.002        | 0.011          | 0.007         |
| Elitery Data Center                | Elitery DC         | No  | 0    | 0.06          | 0.000        | 0.000          | —             |
| Moratelindo (NDC)                  | NDC Jakarta        | No  | 0    | 0.08          | 0.000        | 0.000          | —             |
| <b>Total</b>                       |                    |     |      | <b>385.81</b> | <b>7.720</b> | <b>118.705</b> | <b>10.977</b> |

Cum. CIT = CIT forgone over full holiday. SD = cumulative post-holiday investment allowance CIT cost (non-GMT only). Elitery/Moratelindo below IDR 100B threshold (no holiday). Galaxis excluded (undisclosed investment). CIT forfeited: 22% non-GMT; 7% GMT; 11% for 50%-reduction tier.

## A Data Centre Inventory

**Table 4** Indonesia Data Centre Inventory — Key Parameters

| Operator                       | Facility             | Status         | MW  | Inv. (IDR T) | Tier       | GMT | SEZ |
|--------------------------------|----------------------|----------------|-----|--------------|------------|-----|-----|
| BDx Indonesia                  | CGK4 Jatiluhur       | Planned        | 500 | 77.50        | Above 30T  | No  | No  |
| Digital Edge (Indonet)         | CGK Campus           | Under Construc | 500 | 69.75        | Above 30T  | No  | No  |
| DAMAC Digital                  | Cikarang DC          | Planned        | 144 | 35.65        | Above 30T  | Yes | No  |
| Microsoft                      | Indonesia Central Cl | Under Construc | 46  | 26.35        | 15T-30T    | Yes | No  |
| Princeton Digital Group        | JC3                  | Operational    | 120 | 15.50        | 15T-30T    | No  | No  |
| DCI Indonesia                  | H1 Campus            | Under Construc | 73  | 11.32        | 5T-15T     | No  | No  |
| Princeton Digital Group        | Batam Campus         | Planned        | 96  | 10.42        | 5T-15T     | No  | Yes |
| NTT DATA                       | Jakarta 3 (JKT3)     | Operational    | 45  | 7.75         | 5T-15T     | Yes | No  |
| Tencent                        | Indonesia Expansion  | Planned        | 14  | 7.75         | 5T-15T     | Yes | No  |
| K2 Strategic (K2 Data Centres  | K2 Karawang Campus   | Planned        | 59  | 7.75         | 5T-15T     | Yes | No  |
| Telkom Indonesia (NeutraDC)    | Cikarang Expansion   | Under Construc | 60  | 7.44         | 5T-15T     | Yes | No  |
| DayOne / INA JV                | Nongsa Digital Park  | Under Construc | 72  | 6.70         | 5T-15T     | No  | Yes |
| IndoKeppel Data Centres        | IKDC1                | Under Construc | 12  | 6.59         | 5T-15T     | Yes | No  |
| EdgeConneX                     | Jakarta Campus       | Under Construc | 200 | 6.26         | 5T-15T     | Yes | No  |
| Aslan Energy Capital           | Aslan DC             | Planned        | 40  | 6.20         | 5T-15T     | No  | No  |
| K2 Strategic (K2 Data Centres  | K2 JKT1              | Operational    | 59  | 5.92         | 5T-15T     | Yes | No  |
| DCI Indonesia                  | JK5                  | Operational    | 36  | 5.58         | 5T-15T     | No  | No  |
| DCI Indonesia                  | JK6                  | Operational    | 36  | 5.58         | 5T-15T     | No  | No  |
| Digital Edge (Indonet)         | EDGE2                | Operational    | 23  | 5.04         | 5T-15T     | No  | No  |
| DCI Indonesia                  | H2-02                | Planned        | 30  | 4.65         | 1T-5T      | No  | No  |
| Korea Investment / Sinar Mas ( | KMG Jakarta (AI Data | Under Construc | 18  | 4.65         | 1T-5T      | No  | No  |
| Indosat-NVIDIA (Lintasarta)    | AI Factory (GPU Merd | Operational    | 80  | 3.88         | 1T-5T      | Yes | No  |
| ST Telemedia GDC               | STT Jakarta-2        | Under Construc | 24  | 3.72         | 1T-5T      | Yes | No  |
| BW Digital                     | BW DC                | Planned        | 6   | 3.10         | 1T-5T      | No  | No  |
| DCI Indonesia                  | E1 Data Center       | Operational    | 18  | 3.10         | 1T-5T      | No  | No  |
| Bitera (MMS Group Indonesia)   | Bitera Jakarta       | Operational    | 20  | 3.10         | 1T-5T      | No  | No  |
| Oracle                         | Indonesia North Clou | Operational    | 120 | 3.10         | 1T-5T      | Yes | Yes |
| Digital Realty / Bersama Digit | JBTL1 (Jakarta Barat | Operational    | 30  | 3.10         | 1T-5T      | Yes | No  |
| SpaceDC                        | ID01                 | Operational    | 25  | 2.76         | 1T-5T      | No  | No  |
| Telkom Indonesia (NeutraDC)    | NeutraDC Portfolio ( | Operational    | 42  | 2.60         | 1T-5T      | Yes | No  |
| Digital Edge (Indonet)         | EDGE1                | Operational    | 15  | 2.33         | 1T-5T      | No  | No  |
| Triputra Group                 | Triputra DC          | Planned        | 4   | 2.33         | 1T-5T      | No  | No  |
| Pure Data Centres              | Pure DC              | Operational    | 20  | 2.17         | 1T-5T      | No  | No  |
| Digital Realty / Bersama Digit | CGK11                | Planned        | 32  | 2.17         | 1T-5T      | Yes | No  |
| DCI Indonesia                  | H2 Pertiwi Lestari ( | Under Construc | 600 | 1.75         | 1T-5T      | No  | No  |
| Princeton Digital Group        | Cibitung Campus      | Under Construc | 22  | 1.71         | 1T-5T      | No  | No  |
| NTT DATA                       | Jakarta 2 Annex (JKT | Under Construc | 12  | 1.58         | 1T-5T      | Yes | No  |
| Metta DC                       | ID01 (Jababeka)      | Operational    | 35  | 1.50         | 1T-5T      | No  | No  |
| SEAX Indonesia Pratama         | SEAX DC (BSD Technop | Operational    | 30  | 1.40         | 1T-5T      | No  | No  |
| NTT DATA                       | Jakarta 2 (JKT2)     | Operational    | 9   | 1.17         | 1T-5T      | Yes | No  |
| Equinix / Astra International  | JK1                  | Operational    | 18  | 1.15         | 1T-5T      | Yes | No  |
| Digital Realty / Bersama Digit | CGK10                | Operational    | 5   | 0.93         | 500B-1T    | Yes | No  |
| EdgeConneX                     | GTN Cikarang         | Operational    | 90  | 0.76         | 500B-1T    | Yes | No  |
| Biznet                         | Biznet DC (Technovil | Operational    | 7   | 0.65         | 500B-1T    | No  | No  |
| NTT DATA                       | Jakarta 1 (JKT1)     | Operational    | 5   | 0.62         | 500B-1T    | Yes | No  |
| Gaw Capital / Sinar Primera    | Batam Phase 1        | Operational    | 20  | 0.48         | 100B-500B  | No  | Yes |
| Datacomm                       | Datacomm DC (HQ + Al | Operational    | 2   | 0.16         | 100B-500B  | No  | No  |
| Moratelindo (NDC)              | NDC Jakarta          | Operational    | 1   | 0.08         | Below 100B | No  | No  |
| Elitery Data Center            | Elitery DC           | Operational    | 1   | 0.06         | Below 100B | No  | No  |

MW = planned full capacity. Investment = planned investment where available. Galaxis excluded.

## B Modelling Assumptions

**Table 5** Key Modelling Assumptions

| Parameter                             | Rationale                                                                                                      | Value               |
|---------------------------------------|----------------------------------------------------------------------------------------------------------------|---------------------|
| <i>Financial</i>                      |                                                                                                                |                     |
| ROIC                                  | DCI Indonesia (IDX: DCII) 2023 ROIC<br>14–16%; global DC sector 8–15%                                          | 12%                 |
| Exchange rate                         | Bank Indonesia 2024 annual average                                                                             | IDR 15,800/USD      |
| <i>CIT holiday</i>                    |                                                                                                                |                     |
| Non-GMT forgone                       | No QDMTT floor; full statutory CIT rate                                                                        | 22%                 |
| GMT forgone                           | Net of 15% QDMTT floor (PMK-136/2024, effective 1 Jan 2025)                                                    | 7%                  |
| 50%-reduction tier                    | IDR 100B–500B investment bracket                                                                               | 11%                 |
| Holiday duration                      | <IDR 100B: 0 yr; 100B–500B: 5 yr (50%); 500B–1T: 5 yr; 1T–5T: 7 yr; 5T–15T: 10 yr; 15T–30T: 15 yr; >30T: 20 yr | See tier            |
| <i>Super deduction (GR 45/2019)</i>   |                                                                                                                |                     |
| Investment allowance                  | 5%/yr $\times$ 6 yr = 30% cumulative                                                                           | 5%/yr               |
| Concurrency                           | PMK-153/2020 Art. 7: prohibited during CIT holiday                                                             | Zero during holiday |
| GMT post-holiday                      | QDMTT recaptures all base-erosion CIT saving                                                                   | Zero net cost       |
| Post-holiday window                   | 2 yr at 11% (transition) + 3 yr at 22% (full)                                                                  | 5 years             |
| <i>SEZ incentives</i>                 |                                                                                                                |                     |
| Equipment share                       | Capital equipment as share of total capex                                                                      | 35%                 |
| VAT rate                              | UU No. 7/2021                                                                                                  | 11%                 |
| Import duty                           | Blended rate, IT and electrical equipment                                                                      | 2.5%                |
| <i>Scenarios</i>                      |                                                                                                                |                     |
| Scenario A: benchmark                 | Blended database ratio                                                                                         | IDR 111B/MW         |
| Scenario A: GMT/non-GMT               | Mirrors current database                                                                                       | 42.9%/57.1%         |
| Scenario A: holiday                   | New entrants                                                                                                   | 10 yr               |
| Scenario B: VAT base (standalone)     | 35% of baseline investment (385.8T)                                                                            | IDR 135.0T          |
| Scenario B: VAT base (A + B combined) | 35% of combined investment (660.4T)                                                                            | IDR 231.1T          |
| <i>Macroeconomic references</i>       |                                                                                                                |                     |
| GDP 2024                              | BPS preliminary estimate                                                                                       | IDR 22,139T         |
| Education budget                      | APBN 2024                                                                                                      | IDR 670T            |

*Sensitivity:*  $\pm 3$  pp ROIC alters annual CIT by  $\approx$  IDR  $\pm 0.6$ T.  $\pm 5$  pp equipment share alters SEZ costs by  $\approx$  IDR  $\pm 0.1$ T. Treating pre-2025 holiday years for GMT operators at full 22% raises total cost by  $\approx$  IDR 8–10T.